IB Economics - Topic 3.5: Teacher and AI Grading Guide

Demand Management: Monetary Policy | Questions 1-50

Scope and assessment status

Each original paired question has (a) 10 marks and (b) 15 marks. 35 questions cover SL/HL content and 15 are labelled HL. Difficulty: 10 Easy, 25 Medium, 15 Hard pairs, distributed through the bank. Level and difficulty are independent.

Shared goals, interest-rate transmission, real interest rates and AD/AS effects; HL-only bank lending, policy tools and money-market diagrams are labelled.

The uploaded Economics for the IB Diploma textbook (second edition, 2012) was used for underlying explanations and terminology. Its older syllabus sequence does not set the limits of this current Topic 3.5.

These are original adapted Paper 1-style practice questions, not official IB examination or marking material. The question bank revisits syllabus mechanisms through distinct explanatory and evaluative tasks; the pairs are alternatives for practice, not separate official learning outcomes.

Coverage blueprint

Goals: 7 pairs

Transmission: 9 pairs

Constraints: 9 pairs

Strengths: 5 pairs

Applications: 5 pairs

HL banking: 2 pairs

HL tools: 5 pairs

HL money market: 4 pairs

HL synthesis: 4 pairs

Marking principles

Use best-fit assessment for each part, not a fixed marks-per-keyword checklist. Credit accurate alternatives addressing the task. Do not require every example or qualification below.

Part (a): 10 marks

Practice bands: 0; 1-2 limited; 3-4 mainly descriptive; 5-6 partial explanation; 7-8 clear and accurate causal analysis; 9-10 fully developed explanation with any required diagram or calculation. These abbreviated bands are not official IB descriptors.

Part (b): 15 marks

Practice bands: 0; 1-3 very limited; 4-6 superficial; 7-9 developed but weakly balanced; 10-12 balanced analysis and evaluation; 13-15 sustained, applied evaluation and supported judgment. A named case alone is not developed application.

Diagram and AI grading

Require diagrams when expressly requested and accept an economically equivalent correctly labelled representation. Verify axes, initial and final equilibria and the stated causal shift. In numerical questions, verify method, units and interpretation; allow correct alternative calculations. Do not award a correct final number after an invalid method without examining the work.

Record separate marks for (a) and (b), band evidence, diagram or numerical features if relevant, economic misconceptions, quality of real-world application, and one actionable improvement per part. If a student drawing is unclear, flag the uncertainty rather than assuming correctness.

Question 1

Easy | SL/HL | 25 marks

Topic 3.5: Goals

(a) [10] Explain how a central bank can use monetary policy to pursue low and stable inflation.

(b) [15] Using real-world examples, evaluate whether interest-rate changes alone can stabilise inflation.

Part (a) - Indicative answer and marking guidance

Essential concepts. Central banks alter monetary conditions to influence low inflation, employment, cycles, long-run stability and external balance.

Required reasoning. Changing rates affects borrowing and AD, but supply shocks and transmission lags limit control.

Expected diagram or calculation. Where the question asks for a diagram, label the relevant AD, SRAS, LRAS or Keynesian AS curves (or PPC/labour market as stated), both equilibria and the direction of the shift; distinguish price level from inflation rate and actual from potential output.

Common misconceptions. Distinguish a change in an aggregate from its rate of change, a level from a percentage, and correlation from causation. Avoid introducing unscheduled content as a required part of a shared SL/HL answer. For this question, check specifically that the student distinguishes goals from nearby concepts and does not reverse the stated causal relationship.

Acceptable alternatives. Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

Part (b) - Indicative answer and marking guidance

Main argument. Changing rates affects borrowing and AD, but supply shocks and transmission lags limit control.

Counterargument and conditions. The central bank may face a supply-shock trade-off between inflation control and output.

Application and real-world example. The Bank of England documents Bank Rate and its QE asset purchases begun in 2009; distinguish an announced tool from proof of its output effect. Credit other relevant and accurately explained cases.

Evaluation and judgment. A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

Question 2

Medium | SL/HL | 25 marks

Topic 3.5: Goals

(a) [10] Explain why inflation targeting may influence household and business expectations.

(b) [15] Using real-world examples, discuss whether announcing an inflation target guarantees price stability.

Part (a) - Indicative answer and marking guidance

Essential concepts. Central banks alter monetary conditions to influence low inflation, employment, cycles, long-run stability and external balance.

Required reasoning. A credible target may anchor expectations; credibility depends on policy action and shocks.

Expected diagram or calculation. Where the question asks for a diagram, label the relevant AD, SRAS, LRAS or Keynesian AS curves (or PPC/labour market as stated), both equilibria and the direction of the shift; distinguish price level from inflation rate and actual from potential output.

Common misconceptions. Distinguish a change in an aggregate from its rate of change, a level from a percentage, and correlation from causation. Avoid introducing unscheduled content as a required part of a shared SL/HL answer. For this question, check specifically that the student distinguishes goals from nearby concepts and does not reverse the stated causal relationship.

Acceptable alternatives. Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

Part (b) - Indicative answer and marking guidance

Main argument. A credible target may anchor expectations; credibility depends on policy action and shocks.

Counterargument and conditions. The central bank may face a supply-shock trade-off between inflation control and output.

Application and real-world example. The Bank of England documents Bank Rate and its QE asset purchases begun in 2009; distinguish an announced tool from proof of its output effect. Credit other relevant and accurately explained cases.

Evaluation and judgment. A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

Question 3

Hard | SL/HL | 25 marks

Topic 3.5: Goals

(a) [10] Explain how monetary policy can reduce fluctuations in the business cycle.

(b) [15] Using real-world examples, evaluate whether central banks can fine-tune economic activity.

Part (a) - Indicative answer and marking guidance

Essential concepts. Central banks alter monetary conditions to influence low inflation, employment, cycles, long-run stability and external balance.

Required reasoning. Countercyclical rates influence spending, with uncertain lags and changing transmission.

Expected diagram or calculation. Where the question asks for a diagram, label the relevant AD, SRAS, LRAS or Keynesian AS curves (or PPC/labour market as stated), both equilibria and the direction of the shift; distinguish price level from inflation rate and actual from potential output.

Common misconceptions. Distinguish a change in an aggregate from its rate of change, a level from a percentage, and correlation from causation. Avoid introducing unscheduled content as a required part of a shared SL/HL answer. For this question, check specifically that the student distinguishes goals from nearby concepts and does not reverse the stated causal relationship.

Acceptable alternatives. Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

Part (b) - Indicative answer and marking guidance

Main argument. Countercyclical rates influence spending, with uncertain lags and changing transmission.

Counterargument and conditions. The central bank may face a supply-shock trade-off between inflation control and output.

Application and real-world example. The Bank of England documents Bank Rate and its QE asset purchases begun in 2009; distinguish an announced tool from proof of its output effect. Credit other relevant and accurately explained cases.

Evaluation and judgment. A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

Question 4

Medium | SL/HL | 25 marks

Topic 3.5: Goals

(a) [10] Explain how monetary policy can affect unemployment through aggregate demand.

(b) [15] Using real-world examples, discuss whether lower interest rates always reduce unemployment.

Part (a) - Indicative answer and marking guidance

Essential concepts. Central banks alter monetary conditions to influence low inflation, employment, cycles, long-run stability and external balance.

Required reasoning. Cheaper credit may raise C and I, but structural joblessness does not respond directly.

Expected diagram or calculation. Where the question asks for a diagram, label the relevant AD, SRAS, LRAS or Keynesian AS curves (or PPC/labour market as stated), both equilibria and the direction of the shift; distinguish price level from inflation rate and actual from potential output.

Common misconceptions. Distinguish a change in an aggregate from its rate of change, a level from a percentage, and correlation from causation. Avoid introducing unscheduled content as a required part of a shared SL/HL answer. For this question, check specifically that the student distinguishes goals from nearby concepts and does not reverse the stated causal relationship.

Acceptable alternatives. Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

Part (b) - Indicative answer and marking guidance

Main argument. Cheaper credit may raise C and I, but structural joblessness does not respond directly.

Counterargument and conditions. The central bank may face a supply-shock trade-off between inflation control and output.

Application and real-world example. The Bank of England documents Bank Rate and its QE asset purchases begun in 2009; distinguish an announced tool from proof of its output effect. Credit other relevant and accurately explained cases.

Evaluation and judgment. A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

Question 5

Medium | SL/HL | 25 marks

Topic 3.5: Goals

(a) [10] Explain why monetary stability may encourage long-term investment.

(b) [15] Using real-world examples, evaluate whether low inflation is sufficient to secure long-term growth.

Part (a) - Indicative answer and marking guidance

Essential concepts. Central banks alter monetary conditions to influence low inflation, employment, cycles, long-run stability and external balance.

Required reasoning. Predictable prices reduce uncertainty; skills and productive capacity still matter.

Expected diagram or calculation. Where the question asks for a diagram, label the relevant AD, SRAS, LRAS or Keynesian AS curves (or PPC/labour market as stated), both equilibria and the direction of the shift; distinguish price level from inflation rate and actual from potential output.

Common misconceptions. Distinguish a change in an aggregate from its rate of change, a level from a percentage, and correlation from causation. Avoid introducing unscheduled content as a required part of a shared SL/HL answer. For this question, check specifically that the student distinguishes goals from nearby concepts and does not reverse the stated causal relationship.

Acceptable alternatives. Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

Part (b) - Indicative answer and marking guidance

Main argument. Predictable prices reduce uncertainty; skills and productive capacity still matter.

Counterargument and conditions. The central bank may face a supply-shock trade-off between inflation control and output.

Application and real-world example. The Bank of England documents Bank Rate and its QE asset purchases begun in 2009; distinguish an announced tool from proof of its output effect. Credit other relevant and accurately explained cases.

Evaluation and judgment. A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

Question 6

Easy | SL/HL | 25 marks

Topic 3.5: Goals

(a) [10] Explain how a monetary-policy decision can affect the external balance of an economy.

(b) [15] Using real-world examples, discuss whether higher interest rates necessarily improve the current account.

Part (a) - Indicative answer and marking guidance

Essential concepts. Central banks alter monetary conditions to influence low inflation, employment, cycles, long-run stability and external balance.

Required reasoning. Rates may influence exchange rates and demand for imports, but other forces govern trade.

Expected diagram or calculation. Where the question asks for a diagram, label the relevant AD, SRAS, LRAS or Keynesian AS curves (or PPC/labour market as stated), both equilibria and the direction of the shift; distinguish price level from inflation rate and actual from potential output.

Common misconceptions. Distinguish a change in an aggregate from its rate of change, a level from a percentage, and correlation from causation. Avoid introducing unscheduled content as a required part of a shared SL/HL answer. For this question, check specifically that the student distinguishes goals from nearby concepts and does not reverse the stated causal relationship.

Acceptable alternatives. Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

Part (b) - Indicative answer and marking guidance

Main argument. Rates may influence exchange rates and demand for imports, but other forces govern trade.

Counterargument and conditions. The central bank may face a supply-shock trade-off between inflation control and output.

Application and real-world example. The Bank of England documents Bank Rate and its QE asset purchases begun in 2009; distinguish an announced tool from proof of its output effect. Credit other relevant and accurately explained cases.

Evaluation and judgment. A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

Question 7

Hard | SL/HL | 25 marks

Topic 3.5: Goals

(a) [10] Explain why low inflation and low unemployment can be difficult to achieve simultaneously during a demand boom.

(b) [15] Using real-world examples, evaluate whether a central bank should always prioritise inflation over employment.

Part (a) - Indicative answer and marking guidance

Essential concepts. Central banks alter monetary conditions to influence low inflation, employment, cycles, long-run stability and external balance.

Required reasoning. Restricting AD can reduce price pressure while slowing output and hiring; context and mandate matter.

Expected diagram or calculation. Where the question asks for a diagram, label the relevant AD, SRAS, LRAS or Keynesian AS curves (or PPC/labour market as stated), both equilibria and the direction of the shift; distinguish price level from inflation rate and actual from potential output.

Common misconceptions. Distinguish a change in an aggregate from its rate of change, a level from a percentage, and correlation from causation. Avoid introducing unscheduled content as a required part of a shared SL/HL answer. For this question, check specifically that the student distinguishes goals from nearby concepts and does not reverse the stated causal relationship.

Acceptable alternatives. Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

Part (b) - Indicative answer and marking guidance

Main argument. Restricting AD can reduce price pressure while slowing output and hiring; context and mandate matter.

Counterargument and conditions. The central bank may face a supply-shock trade-off between inflation control and output.

Application and real-world example. The Bank of England documents Bank Rate and its QE asset purchases begun in 2009; distinguish an announced tool from proof of its output effect. Credit other relevant and accurately explained cases.

Evaluation and judgment. A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

Question 8

Medium | SL/HL | 25 marks

Topic 3.5: Transmission

(a) [10] Using an AD/AS diagram, explain how an interest-rate cut can help close a recessionary gap.

(b) [15] Using real-world examples, evaluate whether easing policy is effective when confidence is weak.

Part (a) - Indicative answer and marking guidance

Essential concepts. Interest rates affect borrowing, saving, consumption, investment, exchange rates and AD with time lags.

Required reasoning. Lower borrowing costs may lift C and I and shift AD right; pessimism can mute the response.

Expected diagram or calculation. Price level vertically and real output horizontally. Show relevant AD, SRAS and either vertical LRAS or Keynesian AS as required by the question; mark initial and final equilibrium, potential output if discussing a gap, the correct shift and the resulting changes in output and price level.

Common misconceptions. Distinguish a change in an aggregate from its rate of change, a level from a percentage, and correlation from causation. Avoid introducing unscheduled content as a required part of a shared SL/HL answer. For this question, check specifically that the student distinguishes transmission from nearby concepts and does not reverse the stated causal relationship.

Acceptable alternatives. Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

Part (b) - Indicative answer and marking guidance

Main argument. Lower borrowing costs may lift C and I and shift AD right; pessimism can mute the response.

Counterargument and conditions. Borrowers, savers and exporters respond at different speeds and in different directions.

Application and real-world example. The Bank of England documents Bank Rate and its QE asset purchases begun in 2009; distinguish an announced tool from proof of its output effect. Credit other relevant and accurately explained cases.

Evaluation and judgment. A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

Question 9

Hard | SL/HL | 25 marks

Topic 3.5: Transmission

(a) [10] Using an AD/AS diagram, explain how higher interest rates may reduce an inflationary gap.

(b) [15] Using real-world examples, discuss whether rate rises can reduce inflation without increasing unemployment.

Part (a) - Indicative answer and marking guidance

Essential concepts. Interest rates affect borrowing, saving, consumption, investment, exchange rates and AD with time lags.

Required reasoning. Higher rates restrain C and I; size of gap and AS position determine output cost.

Expected diagram or calculation. Price level vertically and real output horizontally. Show relevant AD, SRAS and either vertical LRAS or Keynesian AS as required by the question; mark initial and final equilibrium, potential output if discussing a gap, the correct shift and the resulting changes in output and price level.

Common misconceptions. Distinguish a change in an aggregate from its rate of change, a level from a percentage, and correlation from causation. Avoid introducing unscheduled content as a required part of a shared SL/HL answer. For this question, check specifically that the student distinguishes transmission from nearby concepts and does not reverse the stated causal relationship.

Acceptable alternatives. Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

Part (b) - Indicative answer and marking guidance

Main argument. Higher rates restrain C and I; size of gap and AS position determine output cost.

Counterargument and conditions. Borrowers, savers and exporters respond at different speeds and in different directions.

Application and real-world example. The Bank of England documents Bank Rate and its QE asset purchases begun in 2009; distinguish an announced tool from proof of its output effect. Credit other relevant and accurately explained cases.

Evaluation and judgment. A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

Question 10

Medium | SL/HL | 25 marks

Topic 3.5: Transmission

(a) [10] Explain how a fall in interest rates can alter saving and consumption choices.

(b) [15] Using real-world examples, evaluate whether households always spend more after a rate cut.

Part (a) - Indicative answer and marking guidance

Essential concepts. Interest rates affect borrowing, saving, consumption, investment, exchange rates and AD with time lags.

Required reasoning. Lower return to saving and debt payments may support C; savers and borrowers respond differently.

Expected diagram or calculation. Where the question asks for a diagram, label the relevant AD, SRAS, LRAS or Keynesian AS curves (or PPC/labour market as stated), both equilibria and the direction of the shift; distinguish price level from inflation rate and actual from potential output.

Common misconceptions. Distinguish a change in an aggregate from its rate of change, a level from a percentage, and correlation from causation. Avoid introducing unscheduled content as a required part of a shared SL/HL answer. For this question, check specifically that the student distinguishes transmission from nearby concepts and does not reverse the stated causal relationship.

Acceptable alternatives. Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

Part (b) - Indicative answer and marking guidance

Main argument. Lower return to saving and debt payments may support C; savers and borrowers respond differently.

Counterargument and conditions. Borrowers, savers and exporters respond at different speeds and in different directions.

Application and real-world example. The Bank of England documents Bank Rate and its QE asset purchases begun in 2009; distinguish an announced tool from proof of its output effect. Credit other relevant and accurately explained cases.

Evaluation and judgment. A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

Question 11

Easy | SL/HL | 25 marks

Topic 3.5: Transmission

(a) [10] Explain how mortgage interest costs can affect household spending after a policy-rate rise.

(b) [15] Using real-world examples, discuss whether all households face the same monetary-policy burden.

Part (a) - Indicative answer and marking guidance

Essential concepts. Interest rates affect borrowing, saving, consumption, investment, exchange rates and AD with time lags.

Required reasoning. Variable-rate borrowers lose disposable income sooner than fixed-rate borrowers or savers.

Expected diagram or calculation. Where the question asks for a diagram, label the relevant AD, SRAS, LRAS or Keynesian AS curves (or PPC/labour market as stated), both equilibria and the direction of the shift; distinguish price level from inflation rate and actual from potential output.

Common misconceptions. Distinguish a change in an aggregate from its rate of change, a level from a percentage, and correlation from causation. Avoid introducing unscheduled content as a required part of a shared SL/HL answer. For this question, check specifically that the student distinguishes transmission from nearby concepts and does not reverse the stated causal relationship.

Acceptable alternatives. Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

Part (b) - Indicative answer and marking guidance

Main argument. Variable-rate borrowers lose disposable income sooner than fixed-rate borrowers or savers.

Counterargument and conditions. Borrowers, savers and exporters respond at different speeds and in different directions.

Application and real-world example. The Bank of England documents Bank Rate and its QE asset purchases begun in 2009; distinguish an announced tool from proof of its output effect. Credit other relevant and accurately explained cases.

Evaluation and judgment. A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

Question 12

Medium | SL/HL | 25 marks

Topic 3.5: Transmission

(a) [10] Explain how a rise in interest rates can affect firms' planned investment.

(b) [15] Using real-world examples, evaluate whether high interest rates necessarily stop investment.

Part (a) - Indicative answer and marking guidance

Essential concepts. Interest rates affect borrowing, saving, consumption, investment, exchange rates and AD with time lags.

Required reasoning. Financing cost raises required returns, but profitable projects and cash-rich firms may proceed.

Expected diagram or calculation. Where the question asks for a diagram, label the relevant AD, SRAS, LRAS or Keynesian AS curves (or PPC/labour market as stated), both equilibria and the direction of the shift; distinguish price level from inflation rate and actual from potential output.

Common misconceptions. Distinguish a change in an aggregate from its rate of change, a level from a percentage, and correlation from causation. Avoid introducing unscheduled content as a required part of a shared SL/HL answer. For this question, check specifically that the student distinguishes transmission from nearby concepts and does not reverse the stated causal relationship.

Acceptable alternatives. Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

Part (b) - Indicative answer and marking guidance

Main argument. Financing cost raises required returns, but profitable projects and cash-rich firms may proceed.

Counterargument and conditions. Borrowers, savers and exporters respond at different speeds and in different directions.

Application and real-world example. The Bank of England documents Bank Rate and its QE asset purchases begun in 2009; distinguish an announced tool from proof of its output effect. Credit other relevant and accurately explained cases.

Evaluation and judgment. A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

Question 13

Hard | SL/HL | 25 marks

Topic 3.5: Transmission

(a) [10] Explain how higher interest rates may influence the exchange rate and net exports.

(b) [15] Using real-world examples, discuss whether a policy-rate increase always reduces aggregate demand through trade.

Part (a) - Indicative answer and marking guidance

Essential concepts. Interest rates affect borrowing, saving, consumption, investment, exchange rates and AD with time lags.

Required reasoning. Capital inflows may appreciate currency and weaken net exports, but exchange rates have other drivers.

Expected diagram or calculation. Where the question asks for a diagram, label the relevant AD, SRAS, LRAS or Keynesian AS curves (or PPC/labour market as stated), both equilibria and the direction of the shift; distinguish price level from inflation rate and actual from potential output.

Common misconceptions. Distinguish a change in an aggregate from its rate of change, a level from a percentage, and correlation from causation. Avoid introducing unscheduled content as a required part of a shared SL/HL answer. For this question, check specifically that the student distinguishes transmission from nearby concepts and does not reverse the stated causal relationship.

Acceptable alternatives. Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

Part (b) - Indicative answer and marking guidance

Main argument. Capital inflows may appreciate currency and weaken net exports, but exchange rates have other drivers.

Counterargument and conditions. Borrowers, savers and exporters respond at different speeds and in different directions.

Application and real-world example. The Bank of England documents Bank Rate and its QE asset purchases begun in 2009; distinguish an announced tool from proof of its output effect. Credit other relevant and accurately explained cases.

Evaluation and judgment. A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

Question 14

Medium | SL/HL | 25 marks

Topic 3.5: Transmission

(a) [10] Explain why monetary-policy effects on consumption may take time to emerge.

(b) [15] Using real-world examples, evaluate whether policy changes have short effects on every part of aggregate demand.

Part (a) - Indicative answer and marking guidance

Essential concepts. Interest rates affect borrowing, saving, consumption, investment, exchange rates and AD with time lags.

Required reasoning. Contract terms, decision cycles and expectations delay spending adjustments.

Expected diagram or calculation. Where the question asks for a diagram, label the relevant AD, SRAS, LRAS or Keynesian AS curves (or PPC/labour market as stated), both equilibria and the direction of the shift; distinguish price level from inflation rate and actual from potential output.

Common misconceptions. Distinguish a change in an aggregate from its rate of change, a level from a percentage, and correlation from causation. Avoid introducing unscheduled content as a required part of a shared SL/HL answer. For this question, check specifically that the student distinguishes transmission from nearby concepts and does not reverse the stated causal relationship.

Acceptable alternatives. Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

Part (b) - Indicative answer and marking guidance

Main argument. Contract terms, decision cycles and expectations delay spending adjustments.

Counterargument and conditions. Borrowers, savers and exporters respond at different speeds and in different directions.

Application and real-world example. The Bank of England documents Bank Rate and its QE asset purchases begun in 2009; distinguish an announced tool from proof of its output effect. Credit other relevant and accurately explained cases.

Evaluation and judgment. A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

Question 15

Medium | SL/HL | 25 marks

Topic 3.5: Transmission

(a) [10] Explain how a rate cut can shift aggregate demand without immediately increasing potential output.

(b) [15] Using real-world examples, discuss whether monetary easing can permanently raise real GDP.

Part (a) - Indicative answer and marking guidance

Essential concepts. Interest rates affect borrowing, saving, consumption, investment, exchange rates and AD with time lags.

Required reasoning. Demand expansion changes utilisation; persistent capacity requires investment and productivity.

Expected diagram or calculation. Where the question asks for a diagram, label the relevant AD, SRAS, LRAS or Keynesian AS curves (or PPC/labour market as stated), both equilibria and the direction of the shift; distinguish price level from inflation rate and actual from potential output.

Common misconceptions. Distinguish a change in an aggregate from its rate of change, a level from a percentage, and correlation from causation. Avoid introducing unscheduled content as a required part of a shared SL/HL answer. For this question, check specifically that the student distinguishes transmission from nearby concepts and does not reverse the stated causal relationship.

Acceptable alternatives. Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

Part (b) - Indicative answer and marking guidance

Main argument. Demand expansion changes utilisation; persistent capacity requires investment and productivity.

Counterargument and conditions. Borrowers, savers and exporters respond at different speeds and in different directions.

Application and real-world example. The Bank of England documents Bank Rate and its QE asset purchases begun in 2009; distinguish an announced tool from proof of its output effect. Credit other relevant and accurately explained cases.

Evaluation and judgment. A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

Question 16

Easy | SL/HL | 25 marks

Topic 3.5: Transmission

(a) [10] Using an AD/AS diagram, explain why an expansionary policy may raise prices more than output near full employment.

(b) [15] Using real-world examples, evaluate whether easing is appropriate when the economy has little spare capacity.

Part (a) - Indicative answer and marking guidance

Essential concepts. Interest rates affect borrowing, saving, consumption, investment, exchange rates and AD with time lags.

Required reasoning. AD right against steep AS creates inflation with small output gain.

Expected diagram or calculation. Price level vertically and real output horizontally. Show relevant AD, SRAS and either vertical LRAS or Keynesian AS as required by the question; mark initial and final equilibrium, potential output if discussing a gap, the correct shift and the resulting changes in output and price level.

Common misconceptions. Distinguish a change in an aggregate from its rate of change, a level from a percentage, and correlation from causation. Avoid introducing unscheduled content as a required part of a shared SL/HL answer. For this question, check specifically that the student distinguishes transmission from nearby concepts and does not reverse the stated causal relationship.

Acceptable alternatives. Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

Part (b) - Indicative answer and marking guidance

Main argument. AD right against steep AS creates inflation with small output gain.

Counterargument and conditions. Borrowers, savers and exporters respond at different speeds and in different directions.

Application and real-world example. The Bank of England documents Bank Rate and its QE asset purchases begun in 2009; distinguish an announced tool from proof of its output effect. Credit other relevant and accurately explained cases.

Evaluation and judgment. A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

Question 17

Hard | SL/HL | 25 marks

Topic 3.5: Constraints

(a) [10] Explain why a policy rate close to zero limits further conventional monetary easing.

(b) [15] Using real-world examples, discuss whether central banks become powerless near zero interest rates.

Part (a) - Indicative answer and marking guidance

Essential concepts. Near-zero rates, low confidence, indebtedness and supply shocks can weaken or complicate monetary policy.

Required reasoning. Little room remains for rate cuts, though communication or unconventional tools may exist.

Expected diagram or calculation. Where the question asks for a diagram, label the relevant AD, SRAS, LRAS or Keynesian AS curves (or PPC/labour market as stated), both equilibria and the direction of the shift; distinguish price level from inflation rate and actual from potential output.

Common misconceptions. Distinguish a change in an aggregate from its rate of change, a level from a percentage, and correlation from causation. Avoid introducing unscheduled content as a required part of a shared SL/HL answer. For this question, check specifically that the student distinguishes constraints from nearby concepts and does not reverse the stated causal relationship.

Acceptable alternatives. Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

Part (b) - Indicative answer and marking guidance

Main argument. Little room remains for rate cuts, though communication or unconventional tools may exist.

Counterargument and conditions. Near-zero rates, weak confidence or credit frictions can interrupt transmission.

Application and real-world example. The Bank of England documents Bank Rate and its QE asset purchases begun in 2009; distinguish an announced tool from proof of its output effect. Credit other relevant and accurately explained cases.

Evaluation and judgment. A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

Question 18

Medium | SL/HL | 25 marks

Topic 3.5: Constraints

(a) [10] Explain why low consumer confidence can weaken the effect of an interest-rate cut.

(b) [15] Using real-world examples, evaluate whether cheap credit can revive spending in a deep recession.

Part (a) - Indicative answer and marking guidance

Essential concepts. Near-zero rates, low confidence, indebtedness and supply shocks can weaken or complicate monetary policy.

Required reasoning. Households may postpone purchases or pay down debt despite cheaper borrowing.

Expected diagram or calculation. Where the question asks for a diagram, label the relevant AD, SRAS, LRAS or Keynesian AS curves (or PPC/labour market as stated), both equilibria and the direction of the shift; distinguish price level from inflation rate and actual from potential output.

Common misconceptions. Distinguish a change in an aggregate from its rate of change, a level from a percentage, and correlation from causation. Avoid introducing unscheduled content as a required part of a shared SL/HL answer. For this question, check specifically that the student distinguishes constraints from nearby concepts and does not reverse the stated causal relationship.

Acceptable alternatives. Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

Part (b) - Indicative answer and marking guidance

Main argument. Households may postpone purchases or pay down debt despite cheaper borrowing.

Counterargument and conditions. Near-zero rates, weak confidence or credit frictions can interrupt transmission.

Application and real-world example. The Bank of England documents Bank Rate and its QE asset purchases begun in 2009; distinguish an announced tool from proof of its output effect. Credit other relevant and accurately explained cases.

Evaluation and judgment. A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

Question 19

Hard | SL/HL | 25 marks

Topic 3.5: Constraints

(a) [10] Explain why weak business confidence can limit investment after monetary easing.

(b) [15] Using real-world examples, discuss whether reduced borrowing costs guarantee new projects.

Part (a) - Indicative answer and marking guidance

Essential concepts. Near-zero rates, low confidence, indebtedness and supply shocks can weaken or complicate monetary policy.

Required reasoning. Expected sales may dominate the interest rate in investment decisions.

Expected diagram or calculation. Where the question asks for a diagram, label the relevant AD, SRAS, LRAS or Keynesian AS curves (or PPC/labour market as stated), both equilibria and the direction of the shift; distinguish price level from inflation rate and actual from potential output.

Common misconceptions. Distinguish a change in an aggregate from its rate of change, a level from a percentage, and correlation from causation. Avoid introducing unscheduled content as a required part of a shared SL/HL answer. For this question, check specifically that the student distinguishes constraints from nearby concepts and does not reverse the stated causal relationship.

Acceptable alternatives. Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

Part (b) - Indicative answer and marking guidance

Main argument. Expected sales may dominate the interest rate in investment decisions.

Counterargument and conditions. Near-zero rates, weak confidence or credit frictions can interrupt transmission.

Application and real-world example. The Bank of England documents Bank Rate and its QE asset purchases begun in 2009; distinguish an announced tool from proof of its output effect. Credit other relevant and accurately explained cases.

Evaluation and judgment. A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

Question 20

Medium | SL/HL | 25 marks

Topic 3.5: Constraints

(a) [10] Explain why a contractionary monetary policy may have a stronger effect on borrowers than savers.

(b) [15] Using real-world examples, evaluate whether tightening is distributed evenly across households.

Part (a) - Indicative answer and marking guidance

Essential concepts. Near-zero rates, low confidence, indebtedness and supply shocks can weaken or complicate monetary policy.

Required reasoning. Higher debt service hits variable-rate borrowers while savers gain interest income.

Expected diagram or calculation. Where the question asks for a diagram, label the relevant AD, SRAS, LRAS or Keynesian AS curves (or PPC/labour market as stated), both equilibria and the direction of the shift; distinguish price level from inflation rate and actual from potential output.

Common misconceptions. Distinguish a change in an aggregate from its rate of change, a level from a percentage, and correlation from causation. Avoid introducing unscheduled content as a required part of a shared SL/HL answer. For this question, check specifically that the student distinguishes constraints from nearby concepts and does not reverse the stated causal relationship.

Acceptable alternatives. Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

Part (b) - Indicative answer and marking guidance

Main argument. Higher debt service hits variable-rate borrowers while savers gain interest income.

Counterargument and conditions. Near-zero rates, weak confidence or credit frictions can interrupt transmission.

Application and real-world example. The Bank of England documents Bank Rate and its QE asset purchases begun in 2009; distinguish an announced tool from proof of its output effect. Credit other relevant and accurately explained cases.

Evaluation and judgment. A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

Question 21

Easy | SL/HL | 25 marks

Topic 3.5: Constraints

(a) [10] Explain why a supply-driven price rise is difficult to correct through interest rates alone.

(b) [15] Using real-world examples, discuss whether tightening is the best response to a temporary energy-cost shock.

Part (a) - Indicative answer and marking guidance

Essential concepts. Near-zero rates, low confidence, indebtedness and supply shocks can weaken or complicate monetary policy.

Required reasoning. Higher rates restrain AD but do not directly restore SRAS and may deepen the output loss.

Expected diagram or calculation. Where the question asks for a diagram, label the relevant AD, SRAS, LRAS or Keynesian AS curves (or PPC/labour market as stated), both equilibria and the direction of the shift; distinguish price level from inflation rate and actual from potential output.

Common misconceptions. Distinguish a change in an aggregate from its rate of change, a level from a percentage, and correlation from causation. Avoid introducing unscheduled content as a required part of a shared SL/HL answer. For this question, check specifically that the student distinguishes constraints from nearby concepts and does not reverse the stated causal relationship.

Acceptable alternatives. Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

Part (b) - Indicative answer and marking guidance

Main argument. Higher rates restrain AD but do not directly restore SRAS and may deepen the output loss.

Counterargument and conditions. Near-zero rates, weak confidence or credit frictions can interrupt transmission.

Application and real-world example. The Bank of England documents Bank Rate and its QE asset purchases begun in 2009; distinguish an announced tool from proof of its output effect. Credit other relevant and accurately explained cases.

Evaluation and judgment. A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

Question 22

Medium | SL/HL | 25 marks

Topic 3.5: Constraints

(a) [10] Explain why high household indebtedness can change the effects of a rate rise.

(b) [15] Using real-world examples, evaluate whether the same policy-rate rise should have identical effects across countries.

Part (a) - Indicative answer and marking guidance

Essential concepts. Near-zero rates, low confidence, indebtedness and supply shocks can weaken or complicate monetary policy.

Required reasoning. Larger variable debt exposure amplifies consumption responses, depending on contracts.

Expected diagram or calculation. Where the question asks for a diagram, label the relevant AD, SRAS, LRAS or Keynesian AS curves (or PPC/labour market as stated), both equilibria and the direction of the shift; distinguish price level from inflation rate and actual from potential output.

Common misconceptions. Distinguish a change in an aggregate from its rate of change, a level from a percentage, and correlation from causation. Avoid introducing unscheduled content as a required part of a shared SL/HL answer. For this question, check specifically that the student distinguishes constraints from nearby concepts and does not reverse the stated causal relationship.

Acceptable alternatives. Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

Part (b) - Indicative answer and marking guidance

Main argument. Larger variable debt exposure amplifies consumption responses, depending on contracts.

Counterargument and conditions. Near-zero rates, weak confidence or credit frictions can interrupt transmission.

Application and real-world example. The Bank of England documents Bank Rate and its QE asset purchases begun in 2009; distinguish an announced tool from proof of its output effect. Credit other relevant and accurately explained cases.

Evaluation and judgment. A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

Question 23

Hard | SL/HL | 25 marks

Topic 3.5: Constraints

(a) [10] Explain why banks might not fully pass a central-bank rate cut on to borrowers.

(b) [15] Using real-world examples, discuss whether changes in policy rates always alter credit conditions proportionately.

Part (a) - Indicative answer and marking guidance

Essential concepts. Near-zero rates, low confidence, indebtedness and supply shocks can weaken or complicate monetary policy.

Required reasoning. Bank funding, risk and margins can interrupt transmission to lending rates.

Expected diagram or calculation. Where the question asks for a diagram, label the relevant AD, SRAS, LRAS or Keynesian AS curves (or PPC/labour market as stated), both equilibria and the direction of the shift; distinguish price level from inflation rate and actual from potential output.

Common misconceptions. Distinguish a change in an aggregate from its rate of change, a level from a percentage, and correlation from causation. Avoid introducing unscheduled content as a required part of a shared SL/HL answer. For this question, check specifically that the student distinguishes constraints from nearby concepts and does not reverse the stated causal relationship.

Acceptable alternatives. Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

Part (b) - Indicative answer and marking guidance

Main argument. Bank funding, risk and margins can interrupt transmission to lending rates.

Counterargument and conditions. Near-zero rates, weak confidence or credit frictions can interrupt transmission.

Application and real-world example. The Bank of England documents Bank Rate and its QE asset purchases begun in 2009; distinguish an announced tool from proof of its output effect. Credit other relevant and accurately explained cases.

Evaluation and judgment. A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

Question 24

Medium | SL/HL | 25 marks

Topic 3.5: Constraints

(a) [10] Explain why interest-rate decisions made today can affect inflation only after a delay.

(b) [15] Using real-world examples, evaluate whether delayed effects make monetary policy ineffective.

Part (a) - Indicative answer and marking guidance

Essential concepts. Near-zero rates, low confidence, indebtedness and supply shocks can weaken or complicate monetary policy.

Required reasoning. Spending and pricing adjust over time; forecasts help but uncertainty remains.

Expected diagram or calculation. Where the question asks for a diagram, label the relevant AD, SRAS, LRAS or Keynesian AS curves (or PPC/labour market as stated), both equilibria and the direction of the shift; distinguish price level from inflation rate and actual from potential output.

Common misconceptions. Distinguish a change in an aggregate from its rate of change, a level from a percentage, and correlation from causation. Avoid introducing unscheduled content as a required part of a shared SL/HL answer. For this question, check specifically that the student distinguishes constraints from nearby concepts and does not reverse the stated causal relationship.

Acceptable alternatives. Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

Part (b) - Indicative answer and marking guidance

Main argument. Spending and pricing adjust over time; forecasts help but uncertainty remains.

Counterargument and conditions. Near-zero rates, weak confidence or credit frictions can interrupt transmission.

Application and real-world example. The Bank of England documents Bank Rate and its QE asset purchases begun in 2009; distinguish an announced tool from proof of its output effect. Credit other relevant and accurately explained cases.

Evaluation and judgment. A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

Question 25

Medium | SL/HL | 25 marks

Topic 3.5: Constraints

(a) [10] Explain why a fall in inflation following tight monetary policy may coincide with slower growth.

(b) [15] Using real-world examples, discuss whether a lower inflation rate always signals an improved economy.

Part (a) - Indicative answer and marking guidance

Essential concepts. Near-zero rates, low confidence, indebtedness and supply shocks can weaken or complicate monetary policy.

Required reasoning. Lower AD can ease demand pressure while reducing output and employment.

Expected diagram or calculation. Where the question asks for a diagram, label the relevant AD, SRAS, LRAS or Keynesian AS curves (or PPC/labour market as stated), both equilibria and the direction of the shift; distinguish price level from inflation rate and actual from potential output.

Common misconceptions. Distinguish a change in an aggregate from its rate of change, a level from a percentage, and correlation from causation. Avoid introducing unscheduled content as a required part of a shared SL/HL answer. For this question, check specifically that the student distinguishes constraints from nearby concepts and does not reverse the stated causal relationship.

Acceptable alternatives. Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

Part (b) - Indicative answer and marking guidance

Main argument. Lower AD can ease demand pressure while reducing output and employment.

Counterargument and conditions. Near-zero rates, weak confidence or credit frictions can interrupt transmission.

Application and real-world example. The Bank of England documents Bank Rate and its QE asset purchases begun in 2009; distinguish an announced tool from proof of its output effect. Credit other relevant and accurately explained cases.

Evaluation and judgment. A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

Question 26

Easy | SL/HL | 25 marks

Topic 3.5: Strengths

(a) [10] Explain why monetary policy can be adjusted incrementally as economic data change.

(b) [15] Using real-world examples, evaluate whether policy flexibility guarantees good decisions.

Part (a) - Indicative answer and marking guidance

Essential concepts. Interest rates are adjustable in small increments and relatively reversible, but outcomes remain uncertain.

Required reasoning. Rates can change in small steps but data revisions and lag uncertainty complicate timing.

Expected diagram or calculation. Where the question asks for a diagram, label the relevant AD, SRAS, LRAS or Keynesian AS curves (or PPC/labour market as stated), both equilibria and the direction of the shift; distinguish price level from inflation rate and actual from potential output.

Common misconceptions. Distinguish a change in an aggregate from its rate of change, a level from a percentage, and correlation from causation. Avoid introducing unscheduled content as a required part of a shared SL/HL answer. For this question, check specifically that the student distinguishes strengths from nearby concepts and does not reverse the stated causal relationship.

Acceptable alternatives. Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

Part (b) - Indicative answer and marking guidance

Main argument. Rates can change in small steps but data revisions and lag uncertainty complicate timing.

Counterargument and conditions. A quick and reversible decision need not have an immediate or predictable economy-wide effect.

Application and real-world example. The Bank of England documents Bank Rate and its QE asset purchases begun in 2009; distinguish an announced tool from proof of its output effect. Credit other relevant and accurately explained cases.

Evaluation and judgment. A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

Question 27

Hard | SL/HL | 25 marks

Topic 3.5: Strengths

(a) [10] Explain why a central bank can often reverse an interest-rate decision more quickly than fiscal legislation.

(b) [15] Using real-world examples, discuss whether faster adjustment makes monetary policy preferable in every recession.

Part (a) - Indicative answer and marking guidance

Essential concepts. Interest rates are adjustable in small increments and relatively reversible, but outcomes remain uncertain.

Required reasoning. Administrative speed helps, but weak transmission or the lower bound can favour other responses.

Expected diagram or calculation. Where the question asks for a diagram, label the relevant AD, SRAS, LRAS or Keynesian AS curves (or PPC/labour market as stated), both equilibria and the direction of the shift; distinguish price level from inflation rate and actual from potential output.

Common misconceptions. Distinguish a change in an aggregate from its rate of change, a level from a percentage, and correlation from causation. Avoid introducing unscheduled content as a required part of a shared SL/HL answer. For this question, check specifically that the student distinguishes strengths from nearby concepts and does not reverse the stated causal relationship.

Acceptable alternatives. Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

Part (b) - Indicative answer and marking guidance

Main argument. Administrative speed helps, but weak transmission or the lower bound can favour other responses.

Counterargument and conditions. A quick and reversible decision need not have an immediate or predictable economy-wide effect.

Application and real-world example. The Bank of England documents Bank Rate and its QE asset purchases begun in 2009; distinguish an announced tool from proof of its output effect. Credit other relevant and accurately explained cases.

Evaluation and judgment. A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

Question 28

Medium | SL/HL | 25 marks

Topic 3.5: Strengths

(a) [10] Explain how interest-rate policy can influence many sectors simultaneously.

(b) [15] Using real-world examples, evaluate whether broad transmission is an advantage in a sector-specific downturn.

Part (a) - Indicative answer and marking guidance

Essential concepts. Interest rates are adjustable in small increments and relatively reversible, but outcomes remain uncertain.

Required reasoning. Economy-wide effects can stabilise AD but may miss the affected industry and spread costs.

Expected diagram or calculation. Where the question asks for a diagram, label the relevant AD, SRAS, LRAS or Keynesian AS curves (or PPC/labour market as stated), both equilibria and the direction of the shift; distinguish price level from inflation rate and actual from potential output.

Common misconceptions. Distinguish a change in an aggregate from its rate of change, a level from a percentage, and correlation from causation. Avoid introducing unscheduled content as a required part of a shared SL/HL answer. For this question, check specifically that the student distinguishes strengths from nearby concepts and does not reverse the stated causal relationship.

Acceptable alternatives. Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

Part (b) - Indicative answer and marking guidance

Main argument. Economy-wide effects can stabilise AD but may miss the affected industry and spread costs.

Counterargument and conditions. A quick and reversible decision need not have an immediate or predictable economy-wide effect.

Application and real-world example. The Bank of England documents Bank Rate and its QE asset purchases begun in 2009; distinguish an announced tool from proof of its output effect. Credit other relevant and accurately explained cases.

Evaluation and judgment. A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

Question 29

Hard | SL/HL | 25 marks

Topic 3.5: Strengths

(a) [10] Explain why monetary tightening may reduce demand-pull inflation.

(b) [15] Using real-world examples, discuss whether high interest rates are always needed to preserve price stability.

Part (a) - Indicative answer and marking guidance

Essential concepts. Interest rates are adjustable in small increments and relatively reversible, but outcomes remain uncertain.

Required reasoning. Lower spending shifts AD left, while inflation may already be falling due to supply recovery.

Expected diagram or calculation. Where the question asks for a diagram, label the relevant AD, SRAS, LRAS or Keynesian AS curves (or PPC/labour market as stated), both equilibria and the direction of the shift; distinguish price level from inflation rate and actual from potential output.

Common misconceptions. Distinguish a change in an aggregate from its rate of change, a level from a percentage, and correlation from causation. Avoid introducing unscheduled content as a required part of a shared SL/HL answer. For this question, check specifically that the student distinguishes strengths from nearby concepts and does not reverse the stated causal relationship.

Acceptable alternatives. Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

Part (b) - Indicative answer and marking guidance

Main argument. Lower spending shifts AD left, while inflation may already be falling due to supply recovery.

Counterargument and conditions. A quick and reversible decision need not have an immediate or predictable economy-wide effect.

Application and real-world example. The Bank of England documents Bank Rate and its QE asset purchases begun in 2009; distinguish an announced tool from proof of its output effect. Credit other relevant and accurately explained cases.

Evaluation and judgment. A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

Question 30

Medium | SL/HL | 25 marks

Topic 3.5: Strengths

(a) [10] Explain how an independent central bank may support credible inflation targeting.

(b) [15] Using real-world examples, evaluate whether central-bank independence alone ensures successful monetary policy.

Part (a) - Indicative answer and marking guidance

Essential concepts. Interest rates are adjustable in small increments and relatively reversible, but outcomes remain uncertain.

Required reasoning. Insulation may anchor expectations; accountability, information and supply shocks still matter.

Expected diagram or calculation. Where the question asks for a diagram, label the relevant AD, SRAS, LRAS or Keynesian AS curves (or PPC/labour market as stated), both equilibria and the direction of the shift; distinguish price level from inflation rate and actual from potential output.

Common misconceptions. Distinguish a change in an aggregate from its rate of change, a level from a percentage, and correlation from causation. Avoid introducing unscheduled content as a required part of a shared SL/HL answer. For this question, check specifically that the student distinguishes strengths from nearby concepts and does not reverse the stated causal relationship.

Acceptable alternatives. Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

Part (b) - Indicative answer and marking guidance

Main argument. Insulation may anchor expectations; accountability, information and supply shocks still matter.

Counterargument and conditions. A quick and reversible decision need not have an immediate or predictable economy-wide effect.

Application and real-world example. The Bank of England documents Bank Rate and its QE asset purchases begun in 2009; distinguish an announced tool from proof of its output effect. Credit other relevant and accurately explained cases.

Evaluation and judgment. A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

Question 31

Easy | SL/HL | 25 marks

Topic 3.5: Applications

(a) [10] Using an AD/AS diagram, explain how policy-rate cuts affect output in an economy with substantial spare capacity.

(b) [15] Using real-world examples, discuss whether rate cuts are likely to be more effective in a mild slowdown than a deep recession.

Part (a) - Indicative answer and marking guidance

Essential concepts. Real rate is approximately nominal interest rate minus inflation; AD response depends on capacity and confidence.

Required reasoning. AD stimulus produces more output with spare capacity, but deep pessimism can blunt transmission.

Expected diagram or calculation. Price level vertically and real output horizontally. Show relevant AD, SRAS and either vertical LRAS or Keynesian AS as required by the question; mark initial and final equilibrium, potential output if discussing a gap, the correct shift and the resulting changes in output and price level.

Common misconceptions. Distinguish a change in an aggregate from its rate of change, a level from a percentage, and correlation from causation. Avoid introducing unscheduled content as a required part of a shared SL/HL answer. For this question, check specifically that the student distinguishes applications from nearby concepts and does not reverse the stated causal relationship.

Acceptable alternatives. Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

Part (b) - Indicative answer and marking guidance

Main argument. AD stimulus produces more output with spare capacity, but deep pessimism can blunt transmission.

Counterargument and conditions. Nominal rates can be positive when real rates are negative; expectations alter the actual incentive.

Application and real-world example. The Bank of England documents Bank Rate and its QE asset purchases begun in 2009; distinguish an announced tool from proof of its output effect. Credit other relevant and accurately explained cases.

Evaluation and judgment. A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

Question 32

Medium | SL/HL | 25 marks

Topic 3.5: Applications

(a) [10] Explain how a central bank might react differently to demand-pull and cost-push inflation.

(b) [15] Using real-world examples, evaluate whether one inflation reading reveals the appropriate policy response.

Part (a) - Indicative answer and marking guidance

Essential concepts. Real rate is approximately nominal interest rate minus inflation; AD response depends on capacity and confidence.

Required reasoning. Demand pressure suggests AD restraint; supply pressure creates an output-inflation trade-off.

Expected diagram or calculation. Where the question asks for a diagram, label the relevant AD, SRAS, LRAS or Keynesian AS curves (or PPC/labour market as stated), both equilibria and the direction of the shift; distinguish price level from inflation rate and actual from potential output.

Common misconceptions. Distinguish a change in an aggregate from its rate of change, a level from a percentage, and correlation from causation. Avoid introducing unscheduled content as a required part of a shared SL/HL answer. For this question, check specifically that the student distinguishes applications from nearby concepts and does not reverse the stated causal relationship.

Acceptable alternatives. Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

Part (b) - Indicative answer and marking guidance

Main argument. Demand pressure suggests AD restraint; supply pressure creates an output-inflation trade-off.

Counterargument and conditions. Nominal rates can be positive when real rates are negative; expectations alter the actual incentive.

Application and real-world example. The Bank of England documents Bank Rate and its QE asset purchases begun in 2009; distinguish an announced tool from proof of its output effect. Credit other relevant and accurately explained cases.

Evaluation and judgment. A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

Question 33

Hard | SL/HL | 25 marks

Topic 3.5: Applications

(a) [10] Explain how real interest rates differ from nominal interest rates.

(b) [15] Using real-world examples, discuss whether a positive nominal interest rate always discourages borrowing.

Part (a) - Indicative answer and marking guidance

Essential concepts. Real rate is approximately nominal interest rate minus inflation; AD response depends on capacity and confidence.

Required reasoning. Approximate real rate=nominal rate minus inflation; purchasing-power cost matters.

Expected diagram or calculation. Where the question asks for a diagram, label the relevant AD, SRAS, LRAS or Keynesian AS curves (or PPC/labour market as stated), both equilibria and the direction of the shift; distinguish price level from inflation rate and actual from potential output.

Common misconceptions. Distinguish a change in an aggregate from its rate of change, a level from a percentage, and correlation from causation. Avoid introducing unscheduled content as a required part of a shared SL/HL answer. For this question, check specifically that the student distinguishes applications from nearby concepts and does not reverse the stated causal relationship.

Acceptable alternatives. Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

Part (b) - Indicative answer and marking guidance

Main argument. Approximate real rate=nominal rate minus inflation; purchasing-power cost matters.

Counterargument and conditions. Nominal rates can be positive when real rates are negative; expectations alter the actual incentive.

Application and real-world example. The Bank of England documents Bank Rate and its QE asset purchases begun in 2009; distinguish an announced tool from proof of its output effect. Credit other relevant and accurately explained cases.

Evaluation and judgment. A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

Question 34

Medium | SL/HL | 25 marks

Topic 3.5: Applications

(a) [10] Given a nominal interest rate of 7% and inflation of 4%, calculate the approximate real interest rate and explain how it affects the purchasing-power cost of borrowing.

(b) [15] Using real-world examples, evaluate whether a 3% real rate necessarily reduces investment.

Part (a) - Indicative answer and marking guidance

Essential concepts. Real rate is approximately nominal interest rate minus inflation; AD response depends on capacity and confidence.

Required reasoning. Approximate real rate=3%; profitability, expectations and financing access govern I.

Expected diagram or calculation. Where the question asks for a diagram, label the relevant AD, SRAS, LRAS or Keynesian AS curves (or PPC/labour market as stated), both equilibria and the direction of the shift; distinguish price level from inflation rate and actual from potential output.

Common misconceptions. Distinguish a change in an aggregate from its rate of change, a level from a percentage, and correlation from causation. Avoid introducing unscheduled content as a required part of a shared SL/HL answer. For this question, check specifically that the student distinguishes applications from nearby concepts and does not reverse the stated causal relationship.

Acceptable alternatives. Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

Part (b) - Indicative answer and marking guidance

Main argument. Approximate real rate=3%; profitability, expectations and financing access govern I.

Counterargument and conditions. Nominal rates can be positive when real rates are negative; expectations alter the actual incentive.

Application and real-world example. The Bank of England documents Bank Rate and its QE asset purchases begun in 2009; distinguish an announced tool from proof of its output effect. Credit other relevant and accurately explained cases.

Evaluation and judgment. A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

Question 35

Medium | SL/HL | 25 marks

Topic 3.5: Applications

(a) [10] Explain why unexpected inflation can change the real cost of borrowing after a loan is agreed.

(b) [15] Using real-world examples, discuss whether inflation helps every borrower.

Part (a) - Indicative answer and marking guidance

Essential concepts. Real rate is approximately nominal interest rate minus inflation; AD response depends on capacity and confidence.

Required reasoning. Higher-than-expected inflation reduces the real burden of fixed-rate debt, while variable rates may adjust.

Expected diagram or calculation. Where the question asks for a diagram, label the relevant AD, SRAS, LRAS or Keynesian AS curves (or PPC/labour market as stated), both equilibria and the direction of the shift; distinguish price level from inflation rate and actual from potential output.

Common misconceptions. Distinguish a change in an aggregate from its rate of change, a level from a percentage, and correlation from causation. Avoid introducing unscheduled content as a required part of a shared SL/HL answer. For this question, check specifically that the student distinguishes applications from nearby concepts and does not reverse the stated causal relationship.

Acceptable alternatives. Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

Part (b) - Indicative answer and marking guidance

Main argument. Higher-than-expected inflation reduces the real burden of fixed-rate debt, while variable rates may adjust.

Counterargument and conditions. Nominal rates can be positive when real rates are negative; expectations alter the actual incentive.

Application and real-world example. The Bank of England documents Bank Rate and its QE asset purchases begun in 2009; distinguish an announced tool from proof of its output effect. Credit other relevant and accurately explained cases.

Evaluation and judgment. A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

Question 36

Easy | HL | 25 marks

Topic 3.5: HL banking

(a) [10] Explain how commercial banks can create deposits when they make loans.

(b) [15] Using real-world examples, evaluate whether deposit creation means banks can lend without constraints.

Part (a) - Indicative answer and marking guidance

Essential concepts. Bank lending creates deposits; liquidity, capital, regulation, creditworthiness and loan demand constrain expansion.

Required reasoning. A loan creates a deposit, subject to regulation, liquidity, capital, demand and credit risk.

Expected diagram or calculation. Where the question asks for a diagram, label the relevant AD, SRAS, LRAS or Keynesian AS curves (or PPC/labour market as stated), both equilibria and the direction of the shift; distinguish price level from inflation rate and actual from potential output.

Common misconceptions. Distinguish a change in an aggregate from its rate of change, a level from a percentage, and correlation from causation. Avoid introducing unscheduled content as a required part of a shared SL/HL answer. For this question, check specifically that the student distinguishes hl banking from nearby concepts and does not reverse the stated causal relationship.

Acceptable alternatives. Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

Part (b) - Indicative answer and marking guidance

Main argument. A loan creates a deposit, subject to regulation, liquidity, capital, demand and credit risk.

Counterargument and conditions. Capital rules, creditworthy demand and liquidity management constrain lending.

Application and real-world example. The Bank of England documents Bank Rate and its QE asset purchases begun in 2009; distinguish an announced tool from proof of its output effect. Credit other relevant and accurately explained cases.

Evaluation and judgment. A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

Question 37

Hard | HL | 25 marks

Topic 3.5: HL banking

(a) [10] Explain why reserve requirements may affect the capacity of banks to extend credit.

(b) [15] Using real-world examples, evaluate whether changing reserve requirements always changes lending substantially.

Part (a) - Indicative answer and marking guidance

Essential concepts. Bank lending creates deposits; liquidity, capital, regulation, creditworthiness and loan demand constrain expansion.

Required reasoning. Higher required reserves can restrict liquidity, but excess reserves and other constraints matter.

Expected diagram or calculation. Where the question asks for a diagram, label the relevant AD, SRAS, LRAS or Keynesian AS curves (or PPC/labour market as stated), both equilibria and the direction of the shift; distinguish price level from inflation rate and actual from potential output.

Common misconceptions. Distinguish a change in an aggregate from its rate of change, a level from a percentage, and correlation from causation. Avoid introducing unscheduled content as a required part of a shared SL/HL answer. For this question, check specifically that the student distinguishes hl banking from nearby concepts and does not reverse the stated causal relationship.

Acceptable alternatives. Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

Part (b) - Indicative answer and marking guidance

Main argument. Higher required reserves can restrict liquidity, but excess reserves and other constraints matter.

Counterargument and conditions. Capital rules, creditworthy demand and liquidity management constrain lending.

Application and real-world example. The Bank of England documents Bank Rate and its QE asset purchases begun in 2009; distinguish an announced tool from proof of its output effect. Credit other relevant and accurately explained cases.

Evaluation and judgment. A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

Question 38

Medium | HL | 25 marks

Topic 3.5: HL tools

(a) [10] Explain how a central bank purchase of securities in an open-market operation can increase bank reserves.

(b) [15] Using real-world examples, discuss whether open-market purchases always increase aggregate demand.

Part (a) - Indicative answer and marking guidance

Essential concepts. Open-market operations, reserve requirements, central-bank lending rates and QE affect monetary conditions by distinct channels.

Required reasoning. Purchase credits reserves; subsequent lending and spending depend on banks and borrowers.

Expected diagram or calculation. Where the question asks for a diagram, label the relevant AD, SRAS, LRAS or Keynesian AS curves (or PPC/labour market as stated), both equilibria and the direction of the shift; distinguish price level from inflation rate and actual from potential output.

Common misconceptions. Distinguish a change in an aggregate from its rate of change, a level from a percentage, and correlation from causation. Avoid introducing unscheduled content as a required part of a shared SL/HL answer. For this question, check specifically that the student distinguishes hl tools from nearby concepts and does not reverse the stated causal relationship.

Acceptable alternatives. Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

Part (b) - Indicative answer and marking guidance

Main argument. Purchase credits reserves; subsequent lending and spending depend on banks and borrowers.

Counterargument and conditions. QE changes asset markets and long yields; it is not a direct cash transfer or simply a policy-rate cut.

Application and real-world example. The Bank of England documents Bank Rate and its QE asset purchases begun in 2009; distinguish an announced tool from proof of its output effect. Credit other relevant and accurately explained cases.

Evaluation and judgment. A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

Question 39

Hard | HL | 25 marks

Topic 3.5: HL tools

(a) [10] Explain how a rise in the central bank's minimum lending rate can transmit to market interest rates.

(b) [15] Using real-world examples, evaluate whether policy-rate rises always curb inflation quickly.

Part (a) - Indicative answer and marking guidance

Essential concepts. Open-market operations, reserve requirements, central-bank lending rates and QE affect monetary conditions by distinct channels.

Required reasoning. Higher policy cost may lift lending rates and restrain AD, with incomplete pass-through and lags.

Expected diagram or calculation. Where the question asks for a diagram, label the relevant AD, SRAS, LRAS or Keynesian AS curves (or PPC/labour market as stated), both equilibria and the direction of the shift; distinguish price level from inflation rate and actual from potential output.

Common misconceptions. Distinguish a change in an aggregate from its rate of change, a level from a percentage, and correlation from causation. Avoid introducing unscheduled content as a required part of a shared SL/HL answer. For this question, check specifically that the student distinguishes hl tools from nearby concepts and does not reverse the stated causal relationship.

Acceptable alternatives. Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

Part (b) - Indicative answer and marking guidance

Main argument. Higher policy cost may lift lending rates and restrain AD, with incomplete pass-through and lags.

Counterargument and conditions. QE changes asset markets and long yields; it is not a direct cash transfer or simply a policy-rate cut.

Application and real-world example. The Bank of England documents Bank Rate and its QE asset purchases begun in 2009; distinguish an announced tool from proof of its output effect. Credit other relevant and accurately explained cases.

Evaluation and judgment. A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

Question 40

Medium | HL | 25 marks

Topic 3.5: HL tools

(a) [10] Explain how quantitative easing differs from a conventional short-term policy-rate cut.

(b) [15] Using real-world examples, discuss whether asset purchases are effective when rates are near zero.

Part (a) - Indicative answer and marking guidance

Essential concepts. Open-market operations, reserve requirements, central-bank lending rates and QE affect monetary conditions by distinct channels.

Required reasoning. QE purchases longer-term assets to affect yields and liquidity; portfolio response is uncertain.

Expected diagram or calculation. Where the question asks for a diagram, label the relevant AD, SRAS, LRAS or Keynesian AS curves (or PPC/labour market as stated), both equilibria and the direction of the shift; distinguish price level from inflation rate and actual from potential output.

Common misconceptions. Distinguish a change in an aggregate from its rate of change, a level from a percentage, and correlation from causation. Avoid introducing unscheduled content as a required part of a shared SL/HL answer. For this question, check specifically that the student distinguishes hl tools from nearby concepts and does not reverse the stated causal relationship.

Acceptable alternatives. Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

Part (b) - Indicative answer and marking guidance

Main argument. QE purchases longer-term assets to affect yields and liquidity; portfolio response is uncertain.

Counterargument and conditions. QE changes asset markets and long yields; it is not a direct cash transfer or simply a policy-rate cut.

Application and real-world example. The Bank of England documents Bank Rate and its QE asset purchases begun in 2009; distinguish an announced tool from proof of its output effect. Credit other relevant and accurately explained cases.

Evaluation and judgment. A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

Question 41

Easy | HL | 25 marks

Topic 3.5: HL tools

(a) [10] Explain how open-market sales can reduce bank reserves.

(b) [15] Using real-world examples, evaluate whether reserve withdrawal is always an effective way to slow credit growth.

Part (a) - Indicative answer and marking guidance

Essential concepts. Open-market operations, reserve requirements, central-bank lending rates and QE affect monetary conditions by distinct channels.

Required reasoning. Sales exchange bank reserves for securities; lending may already be capital- or demand-constrained.

Expected diagram or calculation. Where the question asks for a diagram, label the relevant AD, SRAS, LRAS or Keynesian AS curves (or PPC/labour market as stated), both equilibria and the direction of the shift; distinguish price level from inflation rate and actual from potential output.

Common misconceptions. Distinguish a change in an aggregate from its rate of change, a level from a percentage, and correlation from causation. Avoid introducing unscheduled content as a required part of a shared SL/HL answer. For this question, check specifically that the student distinguishes hl tools from nearby concepts and does not reverse the stated causal relationship.

Acceptable alternatives. Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

Part (b) - Indicative answer and marking guidance

Main argument. Sales exchange bank reserves for securities; lending may already be capital- or demand-constrained.

Counterargument and conditions. QE changes asset markets and long yields; it is not a direct cash transfer or simply a policy-rate cut.

Application and real-world example. The Bank of England documents Bank Rate and its QE asset purchases begun in 2009; distinguish an announced tool from proof of its output effect. Credit other relevant and accurately explained cases.

Evaluation and judgment. A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

Question 42

Medium | HL | 25 marks

Topic 3.5: HL tools

(a) [10] Explain why the effect of quantitative easing on investment depends on longer-term borrowing costs.

(b) [15] Using real-world examples, discuss whether QE necessarily raises real output.

Part (a) - Indicative answer and marking guidance

Essential concepts. Open-market operations, reserve requirements, central-bank lending rates and QE affect monetary conditions by distinct channels.

Required reasoning. Lower bond yields may support finance, but firms still require expected profitable demand.

Expected diagram or calculation. Where the question asks for a diagram, label the relevant AD, SRAS, LRAS or Keynesian AS curves (or PPC/labour market as stated), both equilibria and the direction of the shift; distinguish price level from inflation rate and actual from potential output.

Common misconceptions. Distinguish a change in an aggregate from its rate of change, a level from a percentage, and correlation from causation. Avoid introducing unscheduled content as a required part of a shared SL/HL answer. For this question, check specifically that the student distinguishes hl tools from nearby concepts and does not reverse the stated causal relationship.

Acceptable alternatives. Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

Part (b) - Indicative answer and marking guidance

Main argument. Lower bond yields may support finance, but firms still require expected profitable demand.

Counterargument and conditions. QE changes asset markets and long yields; it is not a direct cash transfer or simply a policy-rate cut.

Application and real-world example. The Bank of England documents Bank Rate and its QE asset purchases begun in 2009; distinguish an announced tool from proof of its output effect. Credit other relevant and accurately explained cases.

Evaluation and judgment. A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

Question 43

Hard | HL | 25 marks

Topic 3.5: HL money market

(a) [10] Using a money-market diagram, explain how an increase in the supply of money can lower the equilibrium interest rate.

(b) [15] Using real-world examples, evaluate whether a larger money supply guarantees lower borrowing rates for all customers.

Part (a) - Indicative answer and marking guidance

Essential concepts. Money supply and money demand determine the equilibrium interest rate in the syllabus money-market diagram.

Required reasoning. Money supply right shifts equilibrium rate down with unchanged money demand; risk spreads may differ.

Expected diagram or calculation. Nominal interest rate vertically, money quantity horizontally, downward-sloping money demand and the vertical money-supply curve. Label initial equilibrium and the correct shifted demand/supply curve, new rate and quantity. State the implication for borrowing and AD where relevant.

Common misconceptions. Distinguish a change in an aggregate from its rate of change, a level from a percentage, and correlation from causation. Avoid introducing unscheduled content as a required part of a shared SL/HL answer. For this question, check specifically that the student distinguishes hl money market from nearby concepts and does not reverse the stated causal relationship.

Acceptable alternatives. Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

Part (b) - Indicative answer and marking guidance

Main argument. Money supply right shifts equilibrium rate down with unchanged money demand; risk spreads may differ.

Counterargument and conditions. Money-demand changes and loan risk premiums can change observed rates despite an unchanged money-supply curve.

Application and real-world example. The Bank of England documents Bank Rate and its QE asset purchases begun in 2009; distinguish an announced tool from proof of its output effect. Credit other relevant and accurately explained cases.

Evaluation and judgment. A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

Question 44

Medium | HL | 25 marks

Topic 3.5: HL money market

(a) [10] Using a money-market diagram, explain how stronger demand for money can change the equilibrium interest rate.

(b) [15] Using real-world examples, discuss whether central banks can hold rates fixed without adjusting the money supply.

Part (a) - Indicative answer and marking guidance

Essential concepts. Money supply and money demand determine the equilibrium interest rate in the syllabus money-market diagram.

Required reasoning. Money demand right raises equilibrium rate with fixed supply; policy action can offset it.

Expected diagram or calculation. Nominal interest rate vertically, money quantity horizontally, downward-sloping money demand and the vertical money-supply curve. Label initial equilibrium and the correct shifted demand/supply curve, new rate and quantity. State the implication for borrowing and AD where relevant.

Common misconceptions. Distinguish a change in an aggregate from its rate of change, a level from a percentage, and correlation from causation. Avoid introducing unscheduled content as a required part of a shared SL/HL answer. For this question, check specifically that the student distinguishes hl money market from nearby concepts and does not reverse the stated causal relationship.

Acceptable alternatives. Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

Part (b) - Indicative answer and marking guidance

Main argument. Money demand right raises equilibrium rate with fixed supply; policy action can offset it.

Counterargument and conditions. Money-demand changes and loan risk premiums can change observed rates despite an unchanged money-supply curve.

Application and real-world example. The Bank of England documents Bank Rate and its QE asset purchases begun in 2009; distinguish an announced tool from proof of its output effect. Credit other relevant and accurately explained cases.

Evaluation and judgment. A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

Question 45

Medium | HL | 25 marks

Topic 3.5: HL money market

(a) [10] Using a money-market diagram, explain the effect of a contraction in the money supply.

(b) [15] Using real-world examples, evaluate whether a higher money-market rate must cause a recession.

Part (a) - Indicative answer and marking guidance

Essential concepts. Money supply and money demand determine the equilibrium interest rate in the syllabus money-market diagram.

Required reasoning. Supply left raises rate in the model; effect on AD depends on transmission and other demand components.

Expected diagram or calculation. Nominal interest rate vertically, money quantity horizontally, downward-sloping money demand and the vertical money-supply curve. Label initial equilibrium and the correct shifted demand/supply curve, new rate and quantity. State the implication for borrowing and AD where relevant.

Common misconceptions. Distinguish a change in an aggregate from its rate of change, a level from a percentage, and correlation from causation. Avoid introducing unscheduled content as a required part of a shared SL/HL answer. For this question, check specifically that the student distinguishes hl money market from nearby concepts and does not reverse the stated causal relationship.

Acceptable alternatives. Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

Part (b) - Indicative answer and marking guidance

Main argument. Supply left raises rate in the model; effect on AD depends on transmission and other demand components.

Counterargument and conditions. Money-demand changes and loan risk premiums can change observed rates despite an unchanged money-supply curve.

Application and real-world example. The Bank of England documents Bank Rate and its QE asset purchases begun in 2009; distinguish an announced tool from proof of its output effect. Credit other relevant and accurately explained cases.

Evaluation and judgment. A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

Question 46

Easy | HL | 25 marks

Topic 3.5: HL money market

(a) [10] Explain why a money-market equilibrium interest rate can change even if the supply of money is unchanged.

(b) [15] Using real-world examples, discuss whether interest rates are determined by central banks alone.

Part (a) - Indicative answer and marking guidance

Essential concepts. Money supply and money demand determine the equilibrium interest rate in the syllabus money-market diagram.

Required reasoning. Liquidity preferences shift demand for money, affecting equilibrium under an exogenous supply model.

Expected diagram or calculation. For an explicitly requested diagram, label interest rate vertically and money quantity horizontally; show money supply and demand, their shift and the resulting rate. For crowding out, connect a rate rise to lower private investment.

Common misconceptions. Distinguish a change in an aggregate from its rate of change, a level from a percentage, and correlation from causation. Avoid introducing unscheduled content as a required part of a shared SL/HL answer. For this question, check specifically that the student distinguishes hl money market from nearby concepts and does not reverse the stated causal relationship.

Acceptable alternatives. Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

Part (b) - Indicative answer and marking guidance

Main argument. Liquidity preferences shift demand for money, affecting equilibrium under an exogenous supply model.

Counterargument and conditions. Money-demand changes and loan risk premiums can change observed rates despite an unchanged money-supply curve.

Application and real-world example. The Bank of England documents Bank Rate and its QE asset purchases begun in 2009; distinguish an announced tool from proof of its output effect. Credit other relevant and accurately explained cases.

Evaluation and judgment. A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

Question 47

Hard | HL | 25 marks

Topic 3.5: HL synthesis

(a) [10] Using AD/AS and money-market diagrams, explain how monetary expansion may close a recessionary gap.

(b) [15] Using real-world examples, evaluate whether money creation always leads to inflation.

Part (a) - Indicative answer and marking guidance

Essential concepts. Trace central-bank actions through money markets, asset yields or commercial banks into AD, with conditional real effects.

Required reasoning. Money supply raises liquidity and can lower rate, lifting AD and output when spare capacity exists.

Expected diagram or calculation. Money-market panel: nominal interest rate vertically and money quantity horizontally; money supply shifts right, reducing the rate. AD/AS panel: price level vertically and real output horizontally; lower borrowing costs shift AD right toward potential output, with a price change determined by AS slope. Label both initial and final equilibria.

Common misconceptions. Distinguish a change in an aggregate from its rate of change, a level from a percentage, and correlation from causation. Avoid introducing unscheduled content as a required part of a shared SL/HL answer. For this question, check specifically that the student distinguishes hl synthesis from nearby concepts and does not reverse the stated causal relationship.

Acceptable alternatives. Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

Part (b) - Indicative answer and marking guidance

Main argument. Money supply raises liquidity and can lower rate, lifting AD and output when spare capacity exists.

Counterargument and conditions. Extra liquidity may be held rather than spent, particularly when confidence is low.

Application and real-world example. The Bank of England documents Bank Rate and its QE asset purchases begun in 2009; distinguish an announced tool from proof of its output effect. Credit other relevant and accurately explained cases.

Evaluation and judgment. A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

Question 48

Medium | HL | 25 marks

Topic 3.5: HL synthesis

(a) [10] Explain how quantitative easing can affect aggregate demand through asset prices.

(b) [15] Using real-world examples, evaluate whether gains in asset values are broadly shared.

Part (a) - Indicative answer and marking guidance

Essential concepts. Trace central-bank actions through money markets, asset yields or commercial banks into AD, with conditional real effects.

Required reasoning. Purchases may lower yields and increase asset values, affecting wealth and financing unevenly.

Expected diagram or calculation. Where the question asks for a diagram, label the relevant AD, SRAS, LRAS or Keynesian AS curves (or PPC/labour market as stated), both equilibria and the direction of the shift; distinguish price level from inflation rate and actual from potential output.

Common misconceptions. Distinguish a change in an aggregate from its rate of change, a level from a percentage, and correlation from causation. Avoid introducing unscheduled content as a required part of a shared SL/HL answer. For this question, check specifically that the student distinguishes hl synthesis from nearby concepts and does not reverse the stated causal relationship.

Acceptable alternatives. Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

Part (b) - Indicative answer and marking guidance

Main argument. Purchases may lower yields and increase asset values, affecting wealth and financing unevenly.

Counterargument and conditions. Extra liquidity may be held rather than spent, particularly when confidence is low.

Application and real-world example. The Bank of England documents Bank Rate and its QE asset purchases begun in 2009; distinguish an announced tool from proof of its output effect. Credit other relevant and accurately explained cases.

Evaluation and judgment. A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

Question 49

Hard | HL | 25 marks

Topic 3.5: HL synthesis

(a) [10] Explain how a change in minimum reserve requirements differs from a change in the central bank's lending rate.

(b) [15] Using real-world examples, discuss which monetary tool is more likely to affect credit in a banking downturn.

Part (a) - Indicative answer and marking guidance

Essential concepts. Trace central-bank actions through money markets, asset yields or commercial banks into AD, with conditional real effects.

Required reasoning. Reserve rules alter liquidity constraints while policy rates affect borrowing costs; binding conditions differ.

Expected diagram or calculation. Where the question asks for a diagram, label the relevant AD, SRAS, LRAS or Keynesian AS curves (or PPC/labour market as stated), both equilibria and the direction of the shift; distinguish price level from inflation rate and actual from potential output.

Common misconceptions. Distinguish a change in an aggregate from its rate of change, a level from a percentage, and correlation from causation. Avoid introducing unscheduled content as a required part of a shared SL/HL answer. For this question, check specifically that the student distinguishes hl synthesis from nearby concepts and does not reverse the stated causal relationship.

Acceptable alternatives. Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

Part (b) - Indicative answer and marking guidance

Main argument. Reserve rules alter liquidity constraints while policy rates affect borrowing costs; binding conditions differ.

Counterargument and conditions. Extra liquidity may be held rather than spent, particularly when confidence is low.

Application and real-world example. The Bank of England documents Bank Rate and its QE asset purchases begun in 2009; distinguish an announced tool from proof of its output effect. Credit other relevant and accurately explained cases.

Evaluation and judgment. A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

Question 50

Medium | HL | 25 marks

Topic 3.5: HL synthesis

(a) [10] Explain why commercial-bank money creation can amplify a change in borrowers' willingness to take loans.

(b) [15] Using real-world examples, evaluate whether banking expansion necessarily improves economic stability.

Part (a) - Indicative answer and marking guidance

Essential concepts. Trace central-bank actions through money markets, asset yields or commercial banks into AD, with conditional real effects.

Required reasoning. More lending creates deposits and spending, but risky credit can increase vulnerability.

Expected diagram or calculation. Where the question asks for a diagram, label the relevant AD, SRAS, LRAS or Keynesian AS curves (or PPC/labour market as stated), both equilibria and the direction of the shift; distinguish price level from inflation rate and actual from potential output.

Common misconceptions. Distinguish a change in an aggregate from its rate of change, a level from a percentage, and correlation from causation. Avoid introducing unscheduled content as a required part of a shared SL/HL answer. For this question, check specifically that the student distinguishes hl synthesis from nearby concepts and does not reverse the stated causal relationship.

Acceptable alternatives. Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

Part (b) - Indicative answer and marking guidance

Main argument. More lending creates deposits and spending, but risky credit can increase vulnerability.

Counterargument and conditions. Extra liquidity may be held rather than spent, particularly when confidence is low.

Application and real-world example. The Bank of England documents Bank Rate and its QE asset purchases begun in 2009; distinguish an announced tool from proof of its output effect. Credit other relevant and accurately explained cases.

Evaluation and judgment. A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

Sources and scope

The current IB Economics guide controls syllabus boundaries. The uploaded Economics for the IB Diploma, second edition (2012), is a supplementary conceptual check; its older chapter sequence and content cannot expand the current specification. Real-world examples are optional and should be checked against their cited sources.

IB guide. Economics guide, first assessment 2022, Unit 3 Topic 3.5; current syllabus scope and level boundaries.

Open source

Bank of England. Explanation of rates, transmission and asset purchases.

Open source

IMF. Inflation and macroeconomic outcomes across countries.

Open source

Final checks

50 paired questions; 10 Easy, 25 Medium, 15 Hard; 35 questions cover SL/HL content and 15 are labelled HL. The student paper contains no answers or difficulty labels.